

July 2007

T L DIRECT

The Line Direct

We need to act like a Service Company to remain an Industrial Company!

The world is changing and faster than a lot of us think.

Despite the obvious current success of TLD which has become the worldwide leader on its market, the threats are real to lose this position, if we don't understand the continuous evolution of our market and to take the right decisions to drive our company.

We have and still benefit from the advantage of a multicultural company that has brought the strengths of a worldwide sales and industrial network to our capability to engineer the right products for our customers.

However, one factor remains and will remain a very important parameter of the development of our company : This factor is the price at which we can offer our equipment.

Our ability to be competitive on the market relies on our continuous fight for reducing our costs. We need to continue to focus a lot of energy on this fight and we are doing it. This is a continuous battle that we need to fight everyday, and it never ends. We know that there are always new ideas to develop to make new savings and to become more productive.

However, despite all our efforts, there will always be a competitor that can offer lower prices than us and gain market share in that way. Low cost countries competitors are emerging and will enter our traditional markets more and more. We have obviously a cost structure disadvantage compared to them.

You may ask "But what's about the product? Can't we make the difference that way?" You are right, this is critical of course and innovation and quality have always been key tools to protect ourselves. However, our competitors in China, India or Brazil have bright and passionate engineers whom we should not undermine as they can dedicate more resources to a project for the same overall cost.

This is why we need to make more efforts in one field where we could make a more significant difference and where our competitors, whoever they are, will have difficulty following us. This field is our service and customer support capabilities. Providing the guarantee to the customer that they are buying the right products and that they have also purchased the best customer service and long term support presence is certainly our main tool to counter lower prices from some of our competitors.

It is achievable for a local company to be service oriented on its local market but it is more difficult for a company with worldwide ambitions to be service oriented and service organized on a worldwide basis.

TLD today has the right network and organisation for its customer support on a worldwide basis. However, we sometimes still lack the **mindset of a service oriented company**. "The customer does not wait", "the customer is right", "the customer understands better the field application", "the customer pays our salary"...these are true statements that are not yet fully acknowledged and deeply appreciated by all of our employees, especially the ones considering they are part of the industrial side of our organization.

This is the field in which we currently need to progress to insure our future. In fact, we are all directly concerned by the customer support we are bringing in the field. We have to act everyday in keeping this in mind. What can I do better today in my job to influence the customer perception of TLD as a company oriented towards customer satisfaction?

Even though we make a lot of efforts to have the best products and to control our cost, we need to realize, all or us regardless of our position, that acting like in a service company is the best way to protect the industrial side of TLD and the related jobs"

Simply put, we need to act like a Service Company to remain an Industrial Company.

Antoine MAGUIN

The Latest Dispatch

Delivery of the 7th and last Dreamloader for the Dreamlifter

The last DBL-110 is now in service in Charleston. The venture – and what a venture - comes to an end with this 7th unit.

To design and build such a platform, dedicated to the load and transfer of parts of the new Boeing 787 aircraft – called the DREAMLINER- in the DREAMLIFTER – a modified Boeing 747 – was a real challenge.

This platform, called DREAMLOADER (DBL : Dream Big Loader) was to make dreams come true, with its 33,5 meters length, 7 meters width, its weight of 180 tons, its speed of 16km/hour driven by a 600 HP engine, and its capacity to dock the aircraft with utmost precision.

Let's recall that this project started in Sherbrooke in March 2005, with a fully dedicated team, and a past similar experience acquired with AIRBUS in the nineties. The commissioning of the first unit has been made in June 2006, that is to say only 14 months after the contract date, and the following units have been assembled at the speed of one new unit every 6 weeks! The 7th and last unit has been assembled during the winter 2007.

The assembly has required in total 40 000 work hours, and brought a heavy work load to several local subcontractors during the manufacturing period.

The success of this challenge is primarily due to the strong motivation of all the persons involved during the life of the project.

The seven DREAMLOADERS are today in operation at five different locations : in Japan, in Italy and in 3 states of the USA, in Charleston, South Carolina, Wichita - Kansas, Everett – Washington, where the final assembly of the 787 takes place. Only two sites have two DREAMLOADERS : Everett and Charleston.

So the dream has become reality.

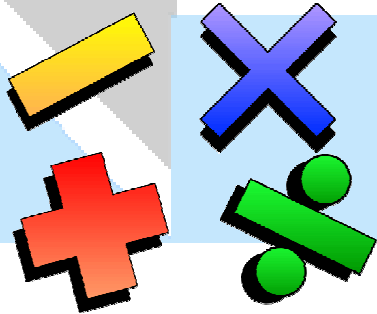
The DREAM LOADER and DREAMLIFTER are fully operational, to make the DREAMLINER a big success.

Francis FAUCHER



The Latest Dashboard

T L Dash board (in M€uros)				
(Year to date-end of JUNE figures)				
TLD Sales	2007-06		2007/2006 % Evolution	
	in M€uros	in % of total		
GSE - AREA AMERICA (Americas, Australia, Japan, N. Zealand)	30,9	32,9%	<0,1>%	
GSE - AREA EUROPE (Europe, Africa, middle east, India, Pakistan)	48,5	51,6%	43,7%	
GSE - AREA ASIA (w/o Taiw an TRVD)	8,1	8,6%	<52,9>%	
Other activities (Adhésives solutions + Taiw an TRVD)	6,6	7,0%	<6,5>%	
TOTAL TLD SALES	94,1	100%	5,8%	



TLD Life Digest

How TLD has contributed to the Big Bang of the airport handling sector in Spain

In order to comply with new International regulations, the European aviation sector has undergone a restructuring during the past few years. As a result, most of the major airports in Spain have been undergone substantial modifications and improvements under the direction of AENA (the Spanish Airport and Civil aviation authority), which controls and manages 47 airports in Spain.

AENA had in particular to comply with the European Union Directives created in the nineties regarding :

- ✓ Opening air traffic to competition
- ✓ Liberalizing the handling business of the 47 Spanish airports.

The first step of this « Europeanization » of the Spanish air traffic consisted in opening the internal market to the competition and allowing other local airlines like Air Europa and Spanair to compete with IBERIA, which so far operated on the territory in a quasi monopoly. The rise of new airlines did generate a very strong competition on domestic as well as international flights, and triggered an important price reduction of flight tickets, which, combined with the good health of the Spanish economy, generated an important increase in air traffic of about 10% on average for the past four years.

TLD Life Digest

The second phase of the opening of the market has been the awarding by tenders of airport handling licenses formerly held by IBERIA. In 2005 an invitation to tender was launched by AENA regarding the handling licenses of the 47 airports usually only operated by IBERIA. The rules did provide for 2 or 3 operators per airport, and specified that the equipment put in service had to be new.

Several important Spanish companies, in particular construction and energy companies like Ferrovial (Swissport), FCC (Fomento de Construcciones y Contratas and its subsidiary Flightcare) and Globalia (Groundforce) seized this opportunity to create or expand their airport handling business.

The sustained high growth of air traffic and the requirements of these tenders thus gave a formidable push to the Ground Equipment Support market during these last three years.

TLD in partnership with its exclusive distributor in Spain AIR RAIL, was well positioned to answer the market requirements and benefit from this trend. Indeed, TLD has a long standing presence in Spain and thanks to its product range and to a professional team work with AIR RAIL, has succeeded in maintaining the loyalty of its customers in spite of strong competition from local manufacturers like FMC, EINSA, TEAM, TEM GORRIS, as well as other international competitors.

After the award of the new licenses by AENA, TLD has benefited from the hard work of the recent years. Since 2005 TLD sales on the Spanish market have shown a sharp increase and today reach record levels:

- ✓ 2005: 36 units
- ✓ 2006: 158 units
- ✓ Mid-2007: 147 units

TLD and AIR RAIL have thus become one of the leading supplier, or even the main supplier of the handling companies in Spain and almost all TLD products are present in Spain, notably the TPX-200 (S and MT), TMX-400, TMX-150, ASU and ACU and now also ABS, GPU and NBL.

TLD continues to work to increase its market position and widen the range of its products on the Spanish market. The introduction of our loaders in Spain is today high on our 2007 priority list.

The prospect in Spain remains strong. The first orders from 2005 to 2007 indeed corresponded to the initial fleet of equipment put in place for the new licences, but they might be followed by other orders, as evidenced by IBERIA coming tender for the renewal and expansion of its equipment fleet.

Edouard DANGAS

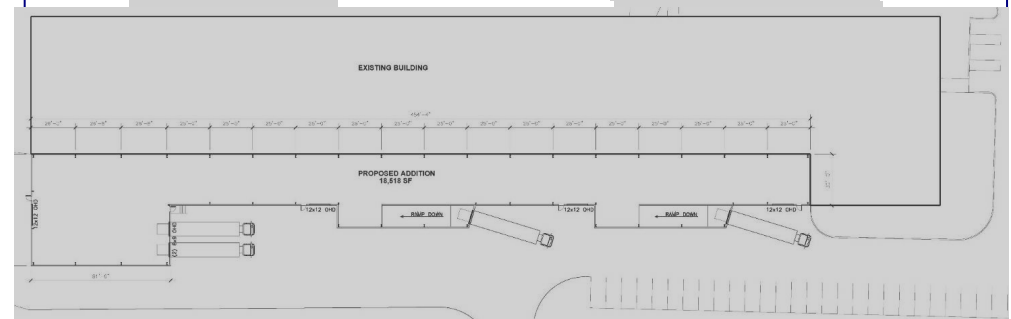
The Last Development of TLD Windsor

TLD-Windsor Point of Use Inventory Building Extension

TLD-Windsor has started the construction Project to expand the Factory in order to create **Point of Use Inventories** along side the assembly cells. The goal of this project is to reduce the amount of handling we do in the daily activity of receiving material, putting it into inventory and out-bounding it to the production floor. Currently Windsor has two warehouses on it's campus and at today's production rate there is approximately \$175k of material being received into these two warehouses and out-bounded to the production floors each day. The effort of physically receiving the material, entering it into the BAAN ERP system and putting into the warehouse shelving only to have to pull it out at a later date and kit it with other parts to go over to the assembly floor offers an opportunity to reduce a large amount of labor and time from the process. The approach to do this is twofold. First the materials will be delivered by the suppliers directly to the **Point Of Use** Inventory locations in stead of the existing warehouses. Second, a bar coded system will be put in place that will allow the materials to be received into the ERP system automatically and issued to the assembly floor directly by the assembly personel via a "cross docking" feature being added to the BAAN ERP system. This feature automatically determines if the item is being waited for on a production order and if so directs the receiving personel to deliver it to the floor instead of stocking on the shelf.

Determining this in today's system is time consuming due to the need to enter multiple screens in the ERP system

The 18,000 square foot addition will run the full length of the building and will provide 4 loading dock locations.



The first step of this project as shown in the attached photos was to remove the existing storage areas and the test shed to make room for the new addition's foundation. Construction excavation will start in mid July and the building erection will start in mid August. The Building extension is planned to be fully operational by mid October.

Mark GARLASCO

The Last Development of TLD Asia

The Last Development of TLD Asia Sales

Asia GSE market continues to grow in 2007 and TLD Asia has been successful in accompanying this growth and gaining some important orders.

China :

The Chinese market remains very well oriented in the prospect of two major international events to be held in China, which will bring a lot of opportunities for TLD, namely, 2008 Olympic Game in China and the 2010 World Exhibition in Shanghai. All of these events, plus the new airports constructions and expansions projects in China for next five (5) years, will make China one of the biggest aviation markets in the world. On top of the local investments in aviation, both FedEx and UPS will open their Asia hubs in China in 4th quarter of 2008, FedEx in Guangzhou and UPS in Shanghai. So far, FedEx has already confirmed a significant order to TLD for its Guangzhou operation.

TLD Asia has been awarded two large orders from Air China for 21 units 7 tons loaders and 34 units NBL in May, thanks to the diligent works done by colleagues of our Beijing office.

In order to cope with this ever increasing aviation market in China, effective from July, we have made some organizational changes to better serve our customers and better manage all new challenges. Liu Dong, our ex-Regional Sales Director for China Southern Region, has been appointed as China Sales & Service Director supervising the complete China Sales & Services teams while Alex Lam remains Director, Sales & Services for Asia-Pacific area (except China).

Philippines :

TLD has opened up an office in Manila in June, 2007, headed by Mr. Alvin Ygonia. We expect that this new office will play a large part in our growth in Philippines, where the market will be active with the opening of a new terminal in Manila and the self-handling of many regional airlines which serve this country comprised of hundreds of Islands.

There has been over 150 pieces of TLD GSE delivered to Philippines of which over 50 units were delivered in the last three years. There are also about 20 pieces of GSE to be delivered to this country before end of 2007. We expect our GPU, NBL and TMX-150 to become best selling products there.

Welcome to our new Philippines colleagues!

Hong Kong:

TLD Asia continues to hold its leading position in the supply of Towbarless tractors for customers in Hong Kong. HAECO just placed order for its first TPX-500-MTS with us, and this is first TPX-500-MTS sold in TLD Asia's territory. This unit also becomes the number 11 TLD towbarless tractor for HAECO, thanks to the effort of the TLD Hong Kong team, that make this sales possible despite of aggressive competitive situation.

Thailand:

After the completion of the very large Bangkok Flight Service project for the new Bangkok International Airport last September, GSE requirements from commercial aviation sector have slowed down, but TLD maintains its strong commercial presence in the commercial and military aviation sectors in this country.

The Last Development of TLD Asia

Taiwan:

Taiwan local aviation market is hurt by the introduction of high speed train that brings passengers from the north to the south of the island within 1.5 hours. However, the aviation sector in Taiwan is expecting growth to come from the long awaited authorization of direct flights between Taiwan and China after the Presidential election scheduled for March 2008. Our TLD Taiwan factory, under the guidance of Mr. TS Yi, who joined us last December as factory COO, is putting in place a lot of organizational and physical improvements. The lay out of the factory has been improved and cleaned through 5S actions. The site is planning to obtain its CE certificates for Catering truck, Ambulift, Cabin Service truck and truck mounted Maintenance Lift Platform before end of this year. Two versions of trailer mounted passenger steps have been developed and sold to Asia customers and TLD Taiwan is also preparing proposal of developing trailer mounted NBL for the review by the Group.

Brunei :

We are able to add a new customer name in our Asia customer lists as Royal Brunei Airlines has confirmed orders for several pieces of TLD equipment early this month!

Allen Fu
CEO TLD Asia

TLD people

MILLENNIUM and TLD in India : a success story woven on mutual trust and commitment to customer satisfaction

MILLENNIUM and **TLD**'s association dates back to 1994. During then the Indian Ground Support Equipment market was monopolized by other GSE Brands and both **MILLENNIUM** and **TLD** desired to change that.

As a first step **TEAM MILLENNIUM** made efforts to studying the market scenario and the ways to endear to the Customers to achieve the ultimate goal of increased **TLD** Ground Support Equipments in the Indian market -not an easy task, if you consider the fact that all the competitors were entrenched in the Indian market for a very long time and were very close to the Indian Customers.



TEAM MILLENNIUM's continued interactions with the Customers, though a strenuous activity, did give them an insight to the Customers heart and the ways to get closer to them – i.e. offering timely onsite Service Support. Once this is known, Team Millennium put in all their efforts to have a full fledged

TLD people

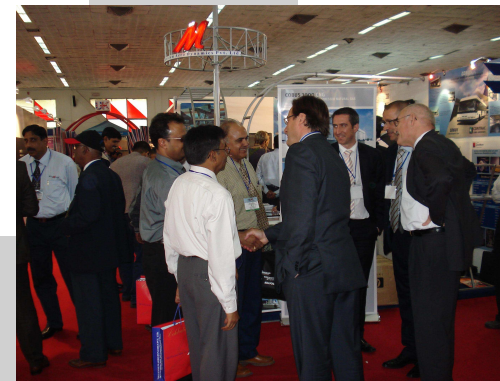
Service Set-up with trained Technical manpower. **TLD** were only too happy to render all possible assistance to **MILLENNIUM** in their endeavour to establish full fledged Service set up manned by **TLD** Factory trained Technical personnel.



In appreciation of Team MILLENNIUM's dedication and commitment to Customer satisfaction which in itself bring in additional business, TLD also appointed MILLENNIUM to look after customer service in other countries.

In tune with the expectations from the Customers, the MILLENNIUM Support Services Division was augmented with addition of Technical Team Members. Keeping in view the vast geographical area of INDIA and the fact that the customers are scattered all around the Country, it was decided to increase the Company owned Service Centres and also appoint Service Affiliates in some of the places and train them for routine maintenance and small repairs. This ensured timely service to the end-customers, with less cost to the Company. Thus MILLENNIUM offices were started in Bangalore and Chennai (Southern part of India) and Delhi (Northern part of India).

Alongside the Product Support Services, Team MILLENNIUM ensured constant interaction with the Officials of potential customers by way of personal visits, organizing customer interaction with TLD Officials periodically through presentations, Get-togethers etc. Also MILLENNIUM and TLD have been jointly participating in relevant Trade Meets and Exhibitions, which too helped in reminding the existing and potential future customers of the continued presence of TLD and MILLENNIUM.



These events ensured steady rise in the demand for TLD Ground Support Equipments in India and today both MILLENNIUM and TLD are happy that all the major Ground Handling Companies and Airlines in INDIA use TLD Ground Support Equipments.

The current TLD Ground Support Equipment population here in India is close to 450 units and both TLD and MILLENNIUM are proud of this achievement. Team Millennium is not contented with the achievements so far and started looking beyond the conventional use and customers for TLD products and generated enquiries from new Customers like the Indian Navy and Indian Air force.

TLD people

SECRET OF SUCCESS -An Organisations' success largely depends on commitment and dedication of the employees and how does one achieve the same in this competitive business environment? The response is quick from **Madhukar Parikh, Managing Director and Chief Operating Officer.** " First and foremost we give freedom to the employees to pursue their entrepreneurial skill on their chosen field. Secondly we ensure they have a feeling of belonging to the organization. Thirdly we ensure promotions periodically commensurate with their performance, commitment levels and business acumen – a classic example is that of **PKU Kumar**, who started with Milan Zatakia in 1982 in Dynamark Engineers, grown with the Company and today he is the Advisor – Corporate Strategy to the Board. There are others like **Stella Pereira** -Executive Secretary to the CMD, **V N Swamy** – Vice President (Northern Region), **R Rajendran** – General Manager (Southern Region) for the current and new employees to see, which instills the requisite confidence and encouragement to achieve goals."



Beaming with happiness at the achievements so far and buoyed with new ideas germinating from the Team Millennium, **Milan Zatakia – Chairman & Chief Executive Officer** of the Company says " We cannot remain content. There are far too many opportunities out there and we yet have to travel a long way. We have reached the Gold Mine and are only scratching the surface. I am confident, with the Team we have and our achievements and reputation to propel them, our Team work will ensure continued success."

Milan ZATAKIA